BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

February 17, 2026

- **February Curse is Broken as Capesize Rates Surge –** The recent **surge** in dry bulk spot rates has **defied the seasonal weakness** that typically characterizes the market at this time of the year. **Robust demand** across all segments has propelled spot rates to record highs for this period, subsequently driving futures to historic levels for as long as one can see. While fundamental data provides little immediate justification for this velocity, the **market's upward trajectory remains undisputed**. This decoupling from traditional supply/demand models raises the question of whether market cyclicality has fundamentally shifted. With **commodities** entering what many perceive as a new **secular bull market**, dry bulk remains at the epicenter of such trend. While our initial projections favored a traditional February softening, current price action dictates a shift in such a stance as price remains king. From an investment perspective, we **see little merit in opposing a trend** of this magnitude, regardless of our fundamental views and despite evidence of cracks in the broader iron ore complex that historically has led to corrections in spot rates.

- **Chinese Iron Ore Portside Inventories top 160mt for the Third Time Ever –** Iron ore stockpiles are once again approaching **record levels** against a backdrop of stagnant steel demand and rising global production. As the world's primary consumer, **China remains the central authority** of iron ore trade and, by extension, the long-term determinant of dry bulk demand. Given the prevailing trend of declining steel production, combined with excessive inventory levels and gradually softening prices, a near-term **increase** in Chinese iron ore imports **appears unlikely**. While such environment has persisted for most of the past year, we anticipate a more definitive shift toward oversupply in the coming months. This transition is expected to trigger a market recalibration, characterized by sharper price corrections and reduced import volumes which should have a cascading impact on dry bulk demand.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and rather steady fleet growth.

Short-term Indicators	
Momentum:	Neutral
Sentiment:	Neutral
Fundamentals:	Negative
Breakwave Dry Futures Index:	**2283**
30D: 40.3%	↑
YTD: 48.6%	↑
YOY: 88.2%	↑
Baltic Dry Index (spot):	**2083**
30D: 29.5%	↑
YTD: 11.6%	↑
YOY: 168.6%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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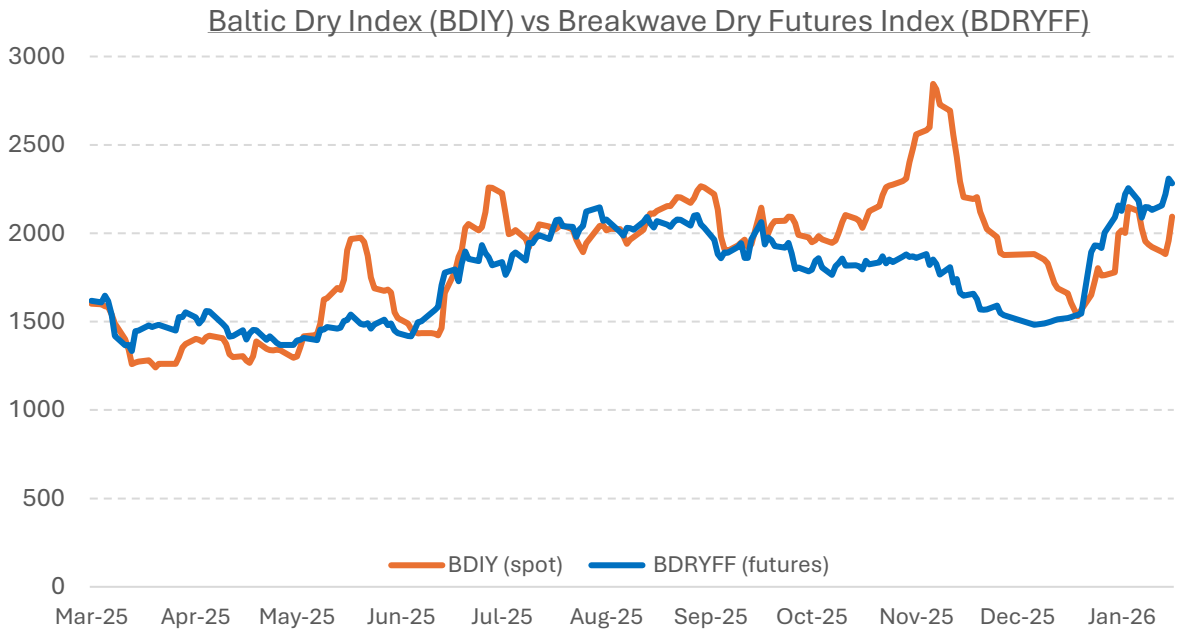

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	961mt	-4.4%
China Steel Inventories	3.7mt	-32.5%
China Iron Ore Inventories	161mt	10.3%
China Iron Ore Imports	1260mt	1.8%
China Coal Imports	491mt	-9.6%
China Soybean Imports	112mt	6.5%
Brazil Iron Ore Exports	416mt	7.1%
Australia Iron Ore Exports	930mt	2.0%

Supply		
Dry Bulk Fleet	1067 mdwt	3.1%

Freight Rates		
Baltic Dry Index, Average	1,845	108.1%
Capesize Spot Rates, Average	22,281	144.2%
Panamax Spot rates, Average	13,967	69.1%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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